
Our decentralized structure is an advantage. It gives us flexibility and speed in reacting to local conditions. Our division leaders are well-positioned to respond immediately to the needs, changes and developments among their customers. We in the corporate office set the goals, establish the discipline, provide financial resources, management and operational support, but it is in our local divisions where customer relationships are established and the work is done. Our community-based focus forges strong local relationships and ensures that, at the customer level, the highest expectations are exceeded.

Ultimately, all the things we do as a Company are aimed at increasing value for our shareholders. We know the importance of strong and predictable cash flow in meeting our shareholders' expectations. Over time, our cash flow has proven to be a strong indicator of the quality of our earnings. Last year's record free cash flow enabled us to reinvest in our business, acquire new companies, repurchase \$266 million of our common stock and double the quarterly dividend to \$0.12 per share. The plan this year is similar. We will continue to use our strong free cash flow to grow and strengthen the Company by building our customer base through internal growth and strategic acquisitions. Additionally, we plan to repurchase Republic stock worth up to \$275 million and pay a regular quarterly cash dividend to our shareholders. We believe these steps will increase shareholder value.

The Year Ahead

We are focused on improving our service and strengthening relationships with our customers. Exceptional service allows us to build loyalty and create lasting bonds with those we serve. We will continue to train and develop our people, too, so they may grow as we grow as a Company. And we will continue to focus on improving the safety of our operations, an important commitment we have made to our people and service communities.

The last year was indeed an outstanding one for Republic. Our goal is to continue to deliver impressive results in 2005.

I am both privileged and grateful to have the opportunity to lead a team of such exceptional people. Everyday, I grow more impressed with the experience, knowledge, loyalty and hard work they contribute. Republic truly has one of the best management and operations teams in America.

On behalf of all of us at Republic, I want to thank our shareholders for the trust they have placed in us. We are a Company that cares about you, and we pledge to continue working hard to serve you in 2005 and beyond.

Sincerely,

A handwritten signature in black ink, reading "James E. O'Connor". The signature is fluid and cursive, with the first name "James" written in a large, stylized loop.

James E. O'Connor
Chairman and Chief Executive Officer
March 31, 2005
